

Root Cause Analysis

NorthStar Manufacturing - Invoice Approval Process Optimization

Root Cause Summary

The primary root cause is the absence of a standardized, governed, system-supported approval workflow. Approval delays are visible symptoms, but the underlying problem is a combination of process design, governance, technology, reporting, and control gaps.

Symptoms, Bottlenecks, and Root Causes

Category	Examples	Interpretation
Symptoms	Slow approvals, late payments, lost emails, missed discounts, manual follow-ups, poor visibility, audit difficulty.	These are visible effects experienced by AP, Finance, Accounting, vendors, and approvers.
Bottlenecks	Manual logging, manual validation, manual routing, non-PO review, manager delays, no reminders, no escalations, manual tracker updates.	These are process points where work waits, slows, or requires rework.
Root Causes	No workflow tool, outdated approval governance, no centralized approval queue, fragmented documentation, limited KPIs, high non-PO volume.	These are structural issues that allow symptoms and bottlenecks to persist.

Detailed Root Causes

Root Cause	Evidence	Impact
No system-supported approval workflow	Approvals occur outside Dynamics 365 through Outlook and Excel.	AP manually coordinates routing, status, reminders, and handoffs.
Outdated approval governance	Finance policy exists but has not been updated recently; AP frequently needs clarification.	Routing errors, delays, inconsistent approvals, and AP dependency.
No centralized approval queue	Managers receive approvals by email and lack visibility into pending invoices.	Approvals get buried or delayed.
No automated reminders or escalations	AP manually follows up on overdue approvals.	AP effort increases and delays persist.
Fragmented documentation	Records are stored across Outlook, shared drives, Excel, and Dynamics.	Audit evidence is difficult to retrieve.
Limited KPI management	Finance tracks monthly volume and spend but not cycle time, aging, or overdue approvals.	Leadership lacks operational visibility and cannot manage delays proactively.
High non-PO invoice volume	Approximately 40% of invoices are non-PO and require added review.	More exceptions, more judgment, and greater control risk.

Five-Why Analysis

Question	Answer
Why are invoices paid late?	Several invoices wait too long for approval before Accounting can schedule payment.
Why do approvals wait too long?	Managers and directors receive approval requests through email and do not have a centralized queue, due date visibility, or escalation structure.

Question	Answer
Why does AP manually chase approvals?	The process does not have automated reminders, escalation rules, or workflow status tracking.
Why does workflow not manage approvals?	Dynamics 365 invoice workflow was never configured, and Outlook/Excel became the operating workaround.
Why is automation not ready yet?	Approval policy, routing rules, exceptions, SLAs, and KPI baselines need to be standardized before workflow automation can succeed.

Risk Implications

Risk Type	Root-Cause Link	Potential Consequence
Operational risk	Manual routing and email approvals	Delayed approvals, lost invoices, duplicated follow-up.
Financial risk	Late approvals and limited aging visibility	Late vendor payments and missed early-payment discounts.
Compliance risk	Fragmented approval evidence	Difficult audits and incomplete approval history.
Data quality risk	Manual Excel entry and duplicate invoice exceptions	Inaccurate tracker data and duplicate payment risk.
Scalability risk	AP as manual workflow engine	Volume growth increases workload without proportional control improvement.

Conclusion

NorthStar should address the root causes before investing in advanced automation. The immediate priority is to standardize approval policy, approval matrix ownership, tracker fields, exception categories, SLAs, and KPI reporting. Once the process foundation is stable, workflow automation can reduce manual AP coordination and improve control reliability.